

The Department of Agriculture, Fisheries and Forestry manages 5 tariff rate quotas put in place by the Australia-India Economic Cooperation and Trade Agreement (AI-ECTA), including an annual quota for cotton of 51,000 tonnes.

Access to the quota will be administered via an allocation system and a first-come, first-served basis until the available quota amount has exhausted.

Exporters can use the [Department of Foreign Affairs and Trade tariff portal](#) to find the current tariff rate applying to their product and to compare the tariff reduction received under the AI-ECTA agreements.

Cotton HS Codes

The HS codes that need to be used to export cotton under the tariff rate quotas are:

- 5201.00.24 - Of staple length exceeding 27 mm but not exceeding 32 mm
- 5201.00.25 - Of staple length exceeding 32 mm

Key dates to remember

- 1 January - Quota year commences
- 31 July - last day to return, retain or request allocation
- 1 November to 15 November - applications for annual allocation for the following quota year
- December - department confirm approved allocation for following quota year
- 31 December - Quota year finishes

Current Quota usage

The quota usage tables show the total quantity of quota used by Australia for AI-ECTA products. The tables are updated regularly.

Check out the current [quota usage for India cotton](#).

New entrants

New entrants will have access to a pool of 2,550 tonnes/year of quota.

The administration of the new entrant pool will be via a first come, first served basis and access per exporter is limited to 500 tonnes/year, if available at the time of request.

Allocation holders

Allocation holders will have access to a pool of 48,450 tonnes/year of quota.

The administration of the allocation pool is via an application process before the start of the quota year. For year 1, 2 and 3 (2022, 2023 and 2024 quota years), the allocated quota is based on your company's previous year shipments of global exports (50%) and market specific exports to India (50%). In year 4 (2025 quota year) and onwards, allocated quota is based on your company's eligible past exports to India where a consignment of cotton was exported to India and a tariff rate quota certificate was issued.

In July of each year, the department will run a reclamation process where allocation holders can return quota they don't intend to use, retain quota they will use, or request more allocation for the remainder of the year. Allocation holders must have used 25% of their allocation to be eligible to retain or request additional quota.

After the reclamation date unallocated quota will be placed into a pool and administered on the first comes first served basis. Following this process, any remaining unallocated quota will be made available to exporters who do not hold an allocation.

Applications for allocated quota for the following year open on 1 November and close on 15 November each year.

Penalty provisions for allocation holders

Penalties apply for exporters who keep their allocation following reclamation and have not used at least 90% of their allocated quota by the end of the quota year. These exporters will incur a 1:1 reduction in the volume of quota allocated to them in the following quota year.

Allocation holders can avoid these penalties by returning quota they are not intending to use through the reclamation process in July of each year.

Transfer of allocated quota

If existing allocation holders wish to transfer some or all their quota allocation, they can do so by completing the [Notice to transfer annual quota entitlements](#) form.

Exporters cannot transfer more than 50% of their quota allocation. Transfers cannot be made after the reclamation day (31 July).

Apply for an AI-ECTA quota certificate for cotton

Exporters will need to apply to export cotton to India at the reduced tariff rate.

To apply for a quota, certificate an exporter must:

- [lodge a request for permit \(RFP\)](#) through the department's electronic documentation system, [EXDOC](#)
- complete and submit the [AI-ECTA cotton TRQ certificate application](#) using the online submit button on the last page of the form.

Download form

Once we have approved the application, we will email the quota certificate to the email address provided on the completed TRQ certificate application. AI-ECTA quota certificates cannot be amended so if there is a change to the exporter, importer, product type or quantity of the shipment after the certificate has been issued the existing certificate may need to be cancelled and a replacement certificate issued. Contact [Quota Admin](#) if there is a change to any details on the certificate.

Note: Quota administration is cost recovered on a per certificate basis in accordance with the Export Charges (Imposition-General) Regulation 2021 and the Export Control (Fees and Payments) Rules 2021. Exporters are invoiced monthly for any quota certificates issued. The current cost recovered amount is \$86 per certificate issued.

Read the detail

Legislation

The [Export Control \(Tariff Rate Quotas-General\) Rules 2021](#) governs the rules around quotas for cotton to India.

Data collection

We report on export quotas using data submitted for certificate applications.

Contact us

Phone: 02 6272 4068

Email: quota.admin@aff.gov.au

Source: <https://www.agriculture.gov.au/biosecurity-trade/export/from-australia/quota/india-cotton-quota>